

OCS / Mitie

£3.1bn recommended cash acquisition

221.6p	46.8%	~£3.1bn	~£8.5bn
Headline value / share	Premium to unaffected price	Fully diluted equity value	Official combined revenue

CORE QUESTION

How much operating improvement is required to support the premium and financing burden - without overstating what the public transaction materials actually disclose?

Cash offer	218.5p/share	Permitted dividend	3.1p/share
Unaffected close	151.0p	Cash premium	44.7%
Announcement	21 July 2026	Prepared	September 2026

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Independent research for portfolio / educational purposes. Publicly disclosed transaction facts are separated from illustrative analytical assumptions. This is not investment advice.

Executive summary

OCS agreed a recommended cash acquisition of Mitie at 218.5p per share. Mitie shareholders may retain the FY26 final dividend of 3.1p, taking headline value to 221.6p per share. The headline value represents a 46.8% premium to the 151.0p unaffected close on 20 July 2026 and implies an approximate £3.1bn fully diluted equity value.

The corrected analytical framing is deliberately conservative: the report distinguishes the 218.5p cash price from the 221.6p headline shareholder value, keeps company operating metrics on their own reported bases, and avoids presenting an unsupported sponsor ownership, rollover or debt perimeter.

The financing case in the model is explicitly illustrative rather than presented as disclosed transaction funding. The same discipline applies to synergies: £50m / £100m / £150m are modelling cases, not company guidance.

Analytical discipline: verified transaction facts first; modelling assumptions second; no unsupported sponsor-return output.

KEY CORRECTED FIGURES

218.5p Cash acquisition price	3.1p Permitted FY26 dividend	44.7% Cash-price premium	46.8% Headline premium
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Verified transaction facts

Item	Figure
Cash acquisition price	218.5p/share
Permitted FY26 final dividend	3.1p/share
Headline shareholder value	221.6p/share
Unaffected close	151.0p
Cash-price premium	44.7%
Headline premium	46.8%
Approx. fully diluted equity value	£3.1bn
Official combined revenue	~£8.5bn calendar-2025

PREMIUM ARITHMETIC

Measure	Formula	Result
Cash-price premium	$218.5 / 151.0 - 1$	44.7%
Headline premium	$221.6 / 151.0 - 1$	46.8%

The distinction between cash price and headline value is important: the 46.8% figure uses 221.6p, while the 44.7% figure uses the 218.5p cash offer.

Company metrics kept on their reported bases

Metric	OCS FY2025	Mitie FY2026
Revenue	£2,658.6m	£5,619m
Adjusted EBITDA	£191.6m	-
Operating profit before Other items	£135.2m	£264m
Operating cash flow / FCF	£163.9m	£162m

The periods and profit measures are kept separate: Mitie operating profit is not presented as EBITDA, and the non-coterminous revenue figures are not used as the official combined-revenue measure.

Why this matters

A transaction model becomes misleading if unlike profit measures are simply added together. The corrected version therefore uses the operating-reference table for context, while the official ~£8.5bn combined-revenue figure remains separately identified as the calendar-2025 transaction reference.

This keeps the public facts useful without creating a false precision around combined EBITDA or transaction EV / EBITDA.

Illustrative uses & balanced funding case

The offer materials disclose CD&R equity and committed debt financing, but do not provide enough public information to infer an exact sponsor ownership / rollover / debt perimeter.

Uses / funding	£m	Status
Equity purchase value	3,100.0	Transaction reference
Illustrative integration cost	125.0	Model assumption
Total uses	3,225.0	Calculated
Illustrative debt funding (50%)	1,612.5	Model assumption
Illustrative sponsor-equity residual	1,612.5	Calculated

BALANCE CHECK

£3.225bn	£1.6125bn	£1.6125bn	0
Total uses	Illustrative debt	Illustrative equity	Sources - uses

The 50% debt-funded case is a scenario for analysis, not a claim about the disclosed transaction capital structure.

Synergy scenarios

OCS has not publicly disclosed a quantified synergy target in the material used for this portfolio analysis. The scenarios below are therefore modelling cases rather than company guidance.

Scenario	Run-rate	Implementation cost	Y1	Y2	Y3+
Bear	£50m	1.50x	25%	65%	100%
Base	£100m	1.25x	25%	65%	100%
Bull	£150m	1.00x	25%	65%	100%

INTERPRETATION

Bear - £50m run-rate; higher 1.50x implementation cost; phased 25% / 65% / 100%.

Base - £100m run-rate; 1.25x implementation cost; same phased capture profile.

Bull - £150m run-rate; 1.00x implementation cost; same phased capture profile.

The model tests operating improvement without presenting the scenarios as management guidance.

Boundaries, caveats & analytical discipline

No invented sponsor split Public materials do not provide enough information to infer an exact sponsor ownership / rollover / debt perimeter.	No false EBITDA bridge Mitie operating profit is not relabelled as EBITDA, and unlike profit measures are not added together.
No company-guidance synergies £50m / £100m / £150m are explicitly illustrative modelling cases.	No unsupported sponsor returns Sponsor-return metrics are not presented without a fully reconciled sponsor-equity, ownership, rollover and debt perimeter.

WHY THIS IS STRONGER

The corrected version is intentionally less aggressive than the earlier draft. It gives up some apparent precision in exchange for a cleaner evidence chain: disclosed facts are labelled as facts, calculations are reproducible, and assumptions remain visibly assumptions.

That makes the work easier to defend in an interview because each headline number can be traced either to a public transaction fact or to an explicitly labelled model input.

Portfolio standard: precision where the evidence supports it; transparency where it does not.

Selected sources & model notes

#	Source	URL
1	Mitie investor materials / Rule 2.7 offer	https://www.mitie.com/investors/
2	Mitie Annual Report 2026	https://www.mitie.com/investors/reports-and-presentations/annual-report-2026/
3	OCS Group Topco Annual Report 2025	https://ocs.com/app/uploads/2026/06/OCS_Group_Topco_FS_31.12.25.pdf

MODEL-NOTE DISCIPLINE

Publicly disclosed facts are presented as such. The financing split, integration cost and synergy scenarios are illustrative analytical assumptions. They are used to test transaction economics, not to imply undisclosed OCS, Mitie or CD&R guidance.

The operating-reference section keeps OCS FY2025 and Mitie FY2026 metrics separate and does not present Mitie operating profit as EBITDA. The official ~£8.5bn combined-revenue figure is retained as a distinct calendar-2025 transaction reference.

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